

you're looking at a reversal of the downward inbound trend. A downward breakout would be a continuation of the downtrend.

Table 56.2 General Statistics

Description	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
Number found	552	197	399	286
Reversal (R), continuation (C) occurrence	35% R, 65% C	55% R, 45% C	53% R, 47% C	34% R, 66% C
Reversal, continuation performance	61% R, 51% C	27% R, 19% C	−16% R, −19% C	−17% R, −22% C
Average rise or decline	55%	23%	−17%	−21%
Standard & Poor's 500 change	14%	−2%	−4%	−8%
Days to ultimate high or low	288	83	47	27
How many change trend?	65%	38%	35%	42%

Apply the same logic to a rounding top in a rising price trend. Upward breakouts act as continuations of the uptrend and downward breakouts act as reversals.

Average rise or decline. As one might expect, the average rise in bull markets is the best performing column of the four. The numbers suggest you will want to trade this pattern with the market trend: upward in bull markets and downward in bear markets. Countertrend moves show weaker results.